8.5 Vouching of Sales Returns

Goods which have been sold when returned by the customer on account of poor quality, defectiveness or due to other reasons are accounted in Sales Returns Book. The auditor should bear in mind the following points while vouching them:

1. The auditor should vouch the entries in the Sales Returns Book with the Gatekeepers Returns Inwards Book and Stock Register.
2. Auditor should verify the copy of the Credit Note issued to the customer and ensure that the credit note is properly authorized and signed by a responsible officer.
3. He should check the postings from the Sales Returns Book to the Sales Returns Account and Customer's account.
4. He should verify the returns from the customers at the beginning and end of the year.
5. He should ensure that goods returned by the customers are included in closing stock and are valued at cost or market price whichever is less.

Books and Documents to be Vouched: (1) Sales Returns Book (2) Credit Note (3) Customers ledger (4) Gatekeepers Returns Inwards Book (5) Stock Register.

Example:
On 8.2.2017 Ram & Co. returned 10 shirts @ ₹ 200 each to X Ltd.

Vouching of Sales Returns
Auditor should vouch the transaction in the following manner:

1. Verify credit note which is issued to the creditor or supplier for goods returned.
2. Verify entry in Sales Returns Book with respect to credit note, date of return, name of customer and amount of return.
3. Verify entry in Debtors or Customers Account with regard to date and amount of return.

Credit Note
X Ltd.,
224, Jawaharlal Nehru Road,
Chennai.

Credit Note No.18 Date: 8th February, 2017

Particulars	Amount ₹
Goods Returned by Ram & Co. as per Delivery Challan No. 147 towards return of 10 cotton shirts, vide Invoice No.112 dated 5/2/2017.	2,000

Signature of Manager

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